

Member ID: _____

Time: _____

Rank: _____



ADVANCED ACCOUNTING (115)

NATIONAL 2025

Multiple Choice (25 @ 2 points each) _____ (50 points)

Short Answers (28 @ 2 points each) _____ (56 points)

Problems:

Job 1—Journalizing Bond Transactions (*1 point each*) _____ (40 points)

Job 2—Allocating Indirect Expenses (*1 point each*) _____ (66 points)

TOTAL POINTS _____ (212 points)

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

The test is divided into two parts, and you **MUST** complete both parts. You will have 90 minutes to complete your work.

PART ONE Instructions: Concept Knowledge

1. Open Google Chrome and navigate to compete.bpa.org.
2. Click on the Secondary Division Competitions button.
3. Enter your BPA Member ID (8-digits) and Password to access your test questions.
4. Answer all questions and submit your test.
5. Move on to Part Two.

PART TWO: Application Knowledge

Complete the questions in the rest of this test booklet by filling in the PDF.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimal places at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

SHORT ANSWER (3 points each answer)

1. After all revenue and expense accounts, other than Income Tax Expense, have been extended to the Income Statement section of the worksheet of Genie Corporation, the net income is determined to be \$300,000. Using the following corporate income tax rates, compute the corporation's federal income taxes payable.

<u>Taxable Income</u>	<u>Tax Rate</u>
First \$50,000	15 percent
Next \$25,000	25 percent
Next \$25,000	34 percent
Next \$235,000	39 percent
Over \$335,000	See IRS publication

2. The following financial information was taken from a firm's accounting records on December 31, 2022. Use this information to determine the items below.

Cash	\$ 40,000
Accounts Receivable (Net)	\$160,000
Merchandise Inventory	\$310,000
Property, Plant, and Equipment (Net)	\$400,000
Accounts Payable	\$120,000
Bonds Payable, 2026	\$100,000

- A. Working Capital _____
- B. Current Ratio _____
- C. Quick Ratio _____

3. The totals from the Bob's Company's Schedule of Accounts Receivable by Age as of the end of 2023 are shown below.

<u>Account</u>	<u>Balance</u>	<u>Current</u>	<u>1-30</u>	<u>31-60</u>	<u>Over 60</u>
Totals	\$11,800	\$8,800	\$1,500	\$600	\$900

As of the end of 2023, there is a debit balance of \$75 in the Allowance for Doubtful Accounts.

Compute the estimated uncollectible accounts using the following rates.

Current	1%
1-30 days past due	10%
31-60 days past due	25%
Over 60 days past due	50%

Compute the amount of the adjustment for uncollectible accounts expense and record the adjusting entry in the general journal below.

General Journal

Date	Description	Doc	Debit	Credit

4. On March 10, 2022, the West Company accepted a 60-day, 8-percent note from Randall Murphy in settlement of his past-due account for \$6,000. On April 9, West Company discounted the note at the Second National Bank. The bank charged a discount rate of 11 percent. Answer the following questions.
- What is the maturity date of the note? _____
 - What is the maturity value of the note? _____
 - How many days are in the discount period? _____
 - What is the amount of the discount? _____
 - What is the amount of the proceeds? _____

5. On March 8, 2022, the Handy Company purchased some office equipment for \$20,000. The equipment is expected to have a useful life of five years and a salvage value of \$2,000. Compute the depreciation for each of the first three years of the asset's life under the straight-line method, the double-declining-balance method, and the sum-of-the-years' digits method.

Year	Straight-line Method	Double-Declining-Balance Method	Sum-of-the-Years'-Digits Method
2022			
2023			
2024			

6. The Westerly Corporation has outstanding 20,000 shares of 12 percent, \$50 par-value, noncumulative, nonparticipating preferred stock and 80,000 shares of \$10 par-value common stock. The board of directors voted to distribute \$60,000 as dividends in 2023, \$140,000 in 2024, and \$200,000 in 2025.

Compute the following:

- | | |
|--|----------|
| a. Amount paid on each share of preferred stock in 2023. | a. _____ |
| b. Amount paid on each share of common stock in 2023. | b. _____ |
| c. Amount paid on each share of preferred stock in 2024. | c. _____ |
| d. Amount paid on each share of common stock in 2024. | d. _____ |
| e. Amount paid on each share of preferred stock in 2025. | e. _____ |
| f. Amount paid on each share of common stock in 2025. | f. _____ |

Job 1—Journalizing Bond Transactions

The Board of Directors of the Lucky Corporation authorized the issuance of \$500,000 face value of 10—year, 12 percent bonds dated May 1, 2022, and maturing on May 1, 2032. Interest is payable semiannually on May 1 and November 1. Record the following bond transactions in the General Journal provided. Omit descriptions.

2022

- May 1 Issued \$60,000 of bonds at face value.
- Nov 1 Paid the semiannual interest on the bonds issued.
- Dec 31 Record the adjusting entry for the accrued bond interest.
- 31 Close the Bond Interest Expense account into the Income Summary account.

Jan 1 Reversed the adjusting entry for accrued bond interest.

May 1 Paid the semiannual interest on the bonds issued.

1 Issued \$50,000 of bonds at face value.

Nov 1 Paid the semiannual interest on the bonds issued.

Dec 31 Record the adjusting entry for the accrued bond interest.

31 Close the Bond Interest Expense account into the Income Summary account.

[illegible]

Job 2—Allocating Indirect Expenses to Departments- (worth 1 point each)

Bamboo Solutions has two departments, General Merchandise and Furniture. The total indirect expenses by category are given as are the value of the Assets, Square Feet, and Sales for each department.

INDIRECT EXPENSES	TOTAL
Insurance Expense	\$32,000
Rent Expense	\$36,000
Utilities Expense	\$15,000
Office Salaries Expense	\$78,000
Other Office Expense	\$4,000
Uncollectible Accounts Expense	\$21,000

	GENERAL MERCHANDISE	FURNITURE
Equipment	\$50,000	\$65,000
Merchandise Inventory	\$170,000	\$215,000
Square Feet	14,000	18,000
Sales	\$420,000	\$500,000

INDIRECT EXPENSES	ALLOCATION BASIS	TOTAL
Insurance Expense	Value of Assets	\$32,000
Rent Expense	Square Feet	\$36,000
Utilities Expense	Square Feet	\$15,000
Office Salaries Expense	Sales	\$78,000
Other Office Expense	Sales	\$4,000
Uncollectible Accounts Expense	Sales	\$21,000

Based on the information given above, calculate the allocations for each of the indirect expenses given based on their logical basis. (Keep two decimals in every percentage calculation, 25.65% not 26%). Round final allocation amount to the nearest dollar.

Department	Basis: Assets	Percent	Insurance Expense	Allocation
Gen. Merchandise				
Furniture				
Combined Totals				
Department	Basis: Square Ft.	Percent	Rent Expense	Allocation
Gen. Merchandise				
Furniture				
Combined Totals				
Department	Basis: Square Ft.	Percent	Utilities Expense	Allocation
Gen. Merchandise				
Furniture				
Combined Totals				
Department	Basis: Sales	Percent	Office Salaries	Allocation
Gen. Merchandise				
Furniture				
Combined Totals				
Department	Basis: Sales	Percent	Other Office	Allocation
Gen. Merchandise				
Furniture				
Combined Totals				
Department	Basis: Sales	Percent	Uncollectible Accounts	Allocation
Gen. Merchandise				
Furniture				
Combined Totals				